of the fund's liquidity risk management program over the past year.[367] Depending on the timing of the fund's board's review of the fund's liquidity risk management program, the fund would include the statement in either its annual or semi-annual report.[368] If the board were to review the liquidity risk management program more frequently than annually, a fund could choose to include the discussion of the program's operation and effectiveness over the past year in the fund's annual and/or semi-annual report, but this discussion would not be required to be included in both reports.[369]

Under current shareholder report requirements, funds must include statements regarding the availability of certain information not included in the semi-annual report, namely the fund's: (1) quarterly portfolio schedule; (2) proxy voting policies and procedures; and (3) proxy voting record.[370] Under our proposal, the semi-annual report would have to similarly include a brief, plain English statement that certain additional fund information is available on the fund's website, including, as applicable, the fund's prospectus, financial statements, quarterly portfolio schedule, and proxy voting record.[371] The statement could also reference other information on the fund's website that the fund reasonably believes

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367 *See* proposed Item 27A(i) of Form N-1A.

368 *See supra* footnote 307 and accompanying text.

369 *See* Instruction 3 to proposed Item 27A(i) of Form N-1A. Current Form N-1A includes the same instruction providing flexibility for a fund whose board reviews the liquidity risk management program more frequently than annually to include the discussion of the program in either the semi-annual report or the annual report, but not both. *See* Instruction to Item 27(d)(6)(ii) of Form N-1A.

370 *See* Items 27(d)(3) through (5) of Form N-1A.

371 *See* proposed Item 27A(j) of Form N-1A.

shareholders would view as important.[372] In addition, if the shareholder report appears on a fund's website or otherwise is provided electronically, the fund must provide a means of facilitating access to that additional information (such as a hyperlink).[373] Collectively, these requirements would be the same as the proposed requirements with regard to the availability of additional information in annual reports.[374]

We request comment generally on the proposed scope and content requirements for funds' semi-annual reports, and specifically on the following issues:

126. Is the proposed scope for semi-annual reports appropriate? To the extent the Commission changes the proposed scope of annual reports, should the Commission adopt those same changes for semi-annual reports? In contrast, are there any unique scope considerations for semi-annual reports, as opposed to annual reports?

127. Are the proposed content requirements for semi-annual reports appropriate? To the extent that the Commission adopts changes to the proposed content requirements for annual reports, should the Commission adopt those same changes for semi-annual reports? In contrast, are there any unique content considerations for semi-annual reports, as opposed to annual reports? For example, are there any amendments we should make to the proposed MDFP requirement to clarify disclosure obligations in the context of a semi-annual reporting period, as opposed to an annual reporting period? As another example, should we require the statement regarding the fund's liquidity risk management program in both the annual and the

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372 *Id.*

373 *See* Instruction 1 to proposed Item 27A(j) of Form N-1A.

374 *See id.*; *see also supra* Section II.B.2.g.

semi-annual reports, instead of providing the flexibility to include this disclosure in either report (depending on the timing of the board's review of the program)?

128. Is it appropriate to permit, but not require, funds to include MDFP and a discussion of material fund changes in their semi-annual reports? Why or why not? Would funds include this optional disclosure in their semi-annual reports, and if so, why? Should we permit any additional flexibility with regard to the content requirements of semi-annual reports and, if so, are there any corresponding changes that we should make to the proposed form amendments to implement such flexibility?

129. Should the Commission make any changes to the frequency of fund shareholder reports? For example, should the Commission require the transmittal of fund shareholder reports more or less frequently than on a semi-annual basis?[375] To what extent would changes in the frequency of shareholder reports impact investors and their investment decision-making?

2. Format and Presentation of Semi-Annual Report

Under our proposal, as discussed below, the semi-annual report would be generally subject to the same format and presentation requirements as the annual report.[376]

Information in semi-annual reports would be required to appear in the same order as the corresponding form items appear in the proposed amendments to Form N-1A.[377] Any

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375 *See infra* Section II.C.3.b (seeking comment on, among other things, an alternative approach in which the requirement to transmit a semi-annual report could be satisfied instead by updating certain information that appears on a fund website either semi-annually or on some more-frequent basis).

376 *See* Section II.B.3.

377 *See* Instruction 2 to proposed Item 27A(a) of Form N-1A. This proposed instruction would

information that a fund could choose to include in the semi-annual report would also be subject to this proposed ordering requirement (that is, it would have to be presented in the same order as the parallel mandatory disclosures in annual reports).[378] Like the parallel requirement for annual reports, this proposed ordering requirement for semi-annual reports is designed to ensure that information we believe is most salient to shareholders would appear first in the report. The proposed ordering requirement also is designed to promote consistency and comparison across funds and would place related report contents close together.

The other proposed instructions for annual reports' format and presentation discussed above also would apply to semi-annual reports. These include the proposed "plain English" instructions for the organization, wording, and design of the report.[379] They also include the proposed instructions encouraging funds to consider using, as appropriate, a question-and-answer format, charts, graphs, tables, bullet lists, and other graphics or text features as a way to help provide context for the information presented.[380]

We request comment generally on the proposed format and presentation requirements for funds' semi-annual reports, and specifically on the following issues:

130. Are the proposed format and presentation requirements for semi-annual reports appropriate? To the extent that the Commission adopts rules that include changes to these

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also include provisions that are applicable to a semi-annual report that appears on a website or is otherwise provided electronically. *See infra* Section II.C.3.

378 *Id.*

379 *See* Instruction 6 to proposed Item 27A(a) of Form N-1A; *see also supra* footnote 323 and accompanying paragraph.

380 *See* Instruction 8 to proposed Item 27A(a) of Form N-1A; *see also supra* footnote 324 and accompanying paragraph.

requirements for annual reports, should the Commission adopt those same changes for semi-annual reports? In contrast, are there any unique considerations with regard to the format and presentation requirements for semi-annual reports, as opposed to annual reports?

131. Under our proposal, semi-annual reports may optionally include certain disclosures that would be required to be included in annual reports.[381] Is it appropriate to require any such optional disclosures to be presented in the same order as the information would be presented in annual reports? To what extent could this cause confusion for investors reading semi-annual reports, given that some semi-annual reports might contain additional optional disclosures interspersed between required disclosures? In contrast, to what extent would it be confusing to require these optional disclosures to be presented in a different order (*e.g.*, following all required disclosures)?

3. Electronic Semi-Annual Reports

a. Proposed Instructions and Requirements

Our proposed instructions for electronic annual reports, including those that promote the use of interactive, user-friendly electronic design features, would also apply to semi-annual reports.[382] Among other things, these proposed instructions would (1) provide ordering and presentation requirements for semi-annual reports that appear on a website or are otherwise provided electronically, (2) provide additional flexibility for funds to add additional

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381 *See supra* footnotes 354 and 355 and accompanying text (discussing the proposal to permit, but not require, MDFP to be included in semi-annual reports) and *supra* footnotes 363 through 365 (discussing the proposal to permit, but not require, a discussion of material fund changes to be included in semi-annual reports).

382 *See supra* Section II.B.4.